

BUSINESS ACCELERATOR

GROUP COACHING PROGRAM



STRATEGY DISCUSSION TEMPLATE

PROGRAM SUMMARY

As part of the Business Accelerator Program, we'll be dedicating a number of sessions to the hot topics identified by the group. One of the hottest topics, and an important starting point for each of you will be your **business strategy**.

How can you ensure that your business strategies are realistic, effective, and executable?

The opportunity for each of you to present and discuss your strategy will be pivotal to future performance. Feedback from the group will bring out the broad variety of experience gained from multiple industries, geographies, and stages of growth. This template isn't designed to **develop** your business strategy. There's a much more comprehensive process for that, which peels back the layers of product performance and the types of value that, as leaders, we have the opportunity to create:

- Investor value;
 - What return on investment will your investors achieve, given the risk they're taking? (Note: in most cases, **you** are the investor! You have to be clear on how much risk you're prepared to take, and what return you expect)
- Product value;
 - How profitable is each product, based on the cost it takes to produce it, with the features your customers want?
- Customer value;
 - What is the value proposition for your potential customers? How much should they be willing to pay in order to get your product's benefits?
- Work value:
 - How do I organize my people to deliver maximum value in the first 3 categories?

This exercise is designed to organize and clarify your thinking so that you can present the strategy succinctly, and get the best from your peers, who will offer their observations.

It will also stimulate your thinking in areas that you may not have yet considered. I would highly recommend listening to two podcast episodes:

- [**Ep.85: Strategy Isn't Hard... don't overcomplicate it;**](#) and
- [**Ep.304: Hard Work Can't Outpace Bad Strategy.**](#)

PRIMING QUESTIONS:

1. What initially attracted you to your business?
2. Do you still have a passion for the business?
3. Who does the business serve (be as specific as you can about who your target market is)?
4. Are you in it for the long term, or are you working towards an exit?

5. How much upside potential does the business have (opportunity for growth and profitability)?

6. Do you have the right people to help you to achieve your objectives?

7. How much competition is there in your markets (i.e. how easy will growth be to achieve)?

8. How easy is it to find the right people (can you readily build capability for this business)?

OVERARCHING STRATEGY

There are only three high-level strategic choices. These determine how you choose to compete in your markets, so being clear on which one you are choosing is critical:

1. Differentiation

A product can consist of either goods or services (or a combination of both). A differentiation strategy implies that you are producing a product that's different from (i.e. better than) your competitors' products. This enables you to compete in the market by offering your product at a premium price.

This product advantage can be realized in one of two ways:

- a. You can charge more for your products (because they're better); OR
- b. You can charge the same as your competitors, and sell a greater volume of products (because your products are better).

2. Cost Leadership

You can produce your products at a lower cost than your competitors can. This enables you to compete strongly in the market and, once again, you can monetize your cost leadership advantage in one of two ways:

- a. You can offer lower prices, winning more customers and still having healthy profit margins; OR
- b. You can charge the same as your competitors, and make greater margins on each sale (because you produce the product for less)

3. Focus

A focus strategy is really a sub-strategy of the first two. This just means that you're focusing on a particular market niche that you believe you can dominate, because you understand the needs of the customer intimately, and your products are better targeted to their specific needs.

Within that chosen market focus, you can then deploy either a cost focus or differentiation strategy.

THE MACDONALD TEST

1. I'm currently working with a trusted colleague, [Andrew MacDonald](#), who has a brilliant strategic mind, to develop ***Strategy Beyond the Theory***... when this program is released in 2025, it will offer a comprehensive program of content, tools and methods (in a similar vein to ***Leadership Beyond the Theory***) which forms a clear step-by-step guide to developing product and portfolio strategy.

In the meantime, let's focus on the simple questions and thought processes that will get you on the right track to developing a competitive strategy for your business. We can ask ourselves two very simple but important questions:

1. ***Is the market worth winning in?*** and
2. ***Can we win?***

IS THE MARKET WORTH WINNING IN?

This question goes to the heart of industry attractiveness. Is the industry you're competing in profitable, overall? Does it give you the opportunity to make healthy profits? Is the historical trend of financial performance of market participants strong? Is it likely that the market will remain profitable into the future? Are you likely to see more or less competition going forward?

Michael Porter's "*Five Forces of Industry Attractiveness*" model is a great framework to analyze the attractiveness of any industry, in any location. The dynamics of competition can be easily assessed (with a "wet finger in the air" approach) to work out whether it's relatively harder or easier to make money.

There are five forces to consider. Rate each of them on a five-point scale to get an idea of the industry attractiveness:

1. Competitive rivalry

Does the industry have few competitors, or many? The more competitors, the fiercer the competition is for selling products, and the sharper the pricing will become, as any premium profits that may have been in the market at the start are competed away.

In highly competitive markets, it's also tougher to get visibility for your products, to craft your marketing messages with clarity, and to win and hold market share.

Highly competitive markets are good for your customers, which is why most rich countries have regulatory bodies that prevent companies from becoming too big, and stop them from swallowing up smaller players that would otherwise stimulate competition.

Because of its lack of market size, Australia naturally favors less competition (two major airlines, four major banks, two major supermarket chains etc).

You need **some** competition to remain sharp, but not so much that you can't make money!

2. Barriers to entry

How easy is it for a new entrant to join the market? In some industries it's super easy. For example, there are **zero** barriers to entry in Leadership Development (anyone can call themselves a leadership expert, and try to win clients). However there are significant barriers to entry in rail freight transportation (you need to invest in locomotives, wagons, and network access paths).

3. Power of the buyer

How much power does the buyer have over you and your competitors? If we stick with the supermarket example in Australia, Coles and Woolworths account for a massive percentage of all distribution, nationally. If you don't have your products on their shelves, you can't get enough scale to make your business efficient.

By the same token, these two behemoths have a huge amount of power, and screw their suppliers mercilessly. This makes the profit margins extremely small, so if you are selling to Woolworths, you'll need to move huge volumes to make up for the skinny per unit margins.

4. Power of the supplier

What type of foothold do the suppliers to your industry have? For example, there are two major suppliers of commercial airplanes: Boeing and Airbus. Even though the airline industry itself isn't particularly profitable, the aircraft manufacturing industry is, because of the scarcity of the suppliers' products, and the long lead times required to produce them.

5. Availability of substitutes

How easy is it to find another product or service to replace yours? The late Clay Christensen came up with a brilliant idea: [The “Jobs to be Done” Theory of Innovation](#). This explains substitutes incredibly well.

The example that Christensen uses is the McDonald's thickshake. It serves the purpose of filling your stomach and relieving boredom on the morning commute. But there are many substitutes for this product, not just Burger King thickshakes: many other breakfast foods can be easily substituted – bagels, muffins, bananas, protein bars etc.

CAN WE WIN?

This question goes to the heart of whether or not you have the resources you need to compete. Once you know **how** you are choosing to compete (differentiation, cost leadership, or focus strategy), and you've established that your industry is **worth competing** in (through Porter's Five Forces analysis), you've got to make sure your business is fit to compete.

We call this a **resource-based view** of competitive advantage. What advantages do you have within your business that enable you to compete more effectively than your competitors can? What are the things that enable you to produce and sell products more effectively than your competitors?

You can analyze your advantages across six categories. As an easy way of remembering the six categories, they form the acronym, "PROFIT". In each of these categories, do you have any resources available to you that enable you to compete better?

This can be the source of your competitive advantage.

1. Physical

Do you have any physical assets that enable you to compete on a stronger footing? For example, if you have a low cost strategy in the energy sector, a mine with an abundant supply of high quality coal that's easy to extract (i.e. lower cost) is a valuable physical asset.

2. Reputational

Does your brand reputation enable you to attract more customers, regardless of the comparative value of your products? For example, the Coca-cola brand is so well-known and respected that it has a natural advantage over other manufacturers of carbonated drinks.

3. Organizational

Is there any inherent advantage in your people, processes, and culture? This type of advantage is the hardest to create, and the most difficult to overcome if one of your competitors manages to create it.

This is what excellent leadership enables you to build. But unless you have really worked hard to create a constructive high-performance culture over many years, it's unlikely you have an advantage here.

I've often heard leaders say, "We have the best people" but, 99% of the time, it's simply not true. Most often, your people are the same average quality as your competitors' people!

4. Financial

Do you have access to any financial assets that your competitors don't? For example, a strong balance sheet with plenty of capital to reinvest in growth and innovation? In the aftermath of Covid19, the airline industry in Australia was decimated. But Qantas came out with a strong forward positioning, because it had the ability to access capital. Virgin Australia on the other hand, went into administration, and had to be recapitalized by the new owners. A very different proposition!

5. Intellectual

Do you have any IP that is unique, scarce, and valuable? For example, a relative of mine (by marriage) invented a simple locking mechanism to make furniture assembly simple, without using screws and bolts, providing a better aesthetic finish.

His company held exclusive patent protection for 16 years, enabling him to make super profits before the market opened up. And even though it was only a low cost item (by unit), it became almost ubiquitous.

6. Technological

Have you made any technological leaps that put you ahead of your competitors? China initially became a global source of low-cost manufacturing because of its almost limitless supply of cheap labor. In the 21st century, it has maintained its advantage through automation of factories and manufacturing facilities that deploy capital more efficiently.

Now, for each advantage that you've identified, it's important to know exactly *how* big an advantage that might be. So, for each advantage listed, you need to assess whether that particular resource is:

1. Valuable
2. Rare
3. Hard to copy
4. Non-substituable

This will tell you how hard it is for your competitors to replicate (if they can at all), and it will also pass as an additional acid test on the resources you identified. Be brutally honest, and ask yourself questions. For example: *"Is this advantage truly hard to copy? How easily can my competitors replicate it? What would they have to do"*

ACHIEVING PROFITABLE GROWTH

Most of you want to grow, and you all have revenue targets. In our introductory 1:1 sessions, I impressed upon each of you the importance of having earnings targets, so that any growth you can generate will be **profitable** growth.

Your objective, irrespective of your current circumstances, should be to achieve consistent, profitable growth for your business! This will require you to have real clarity on a few important things, so it's worth asking yourself (and answering) the following questions:

1. What are you trying to achieve with your strategy?
2. Are all your resources (people, assets, money) directed towards executing that strategy?
3. Which customers are the most profitable?
4. Which products are the most profitable?
5. Which markets are the most profitable?
6. Which sales channels are the most profitable?
7. How much unused capacity do you have (to produce more product)?
8. Do your costs grow at the same rate as your revenue?
9. Can you trace value from all your overhead expenses?
10. What is your **maximum growth rate** based upon availability of **working capital**?

For our conversation in the Business Accelerator group, it may be worth starting here! Feel free to jot down some notes below.